ceed only in ruining the corporation without benefiting the bondholder. As long as the interest or principal is not going to be paid anyway, would it not be to the interest of the bondholders themselves to postpone the date of payment and keep the enterprise out of the courts?

Corporate Insolvency and Reorganization. This question leads into the broad field of corporate insolvency and reorganization. We must try, within as brief a space as possible, first, to describe the procedure followed prior to the amendatory legislation beginning in 1933; secondly, to summarize the changes brought about by the recent statutes; and, finally, to evaluate the bondholder's position as it now appears. (The latter will be especially difficult, since the new laws have not yet had time to prove their merits or deficiencies in actual practice.)

The old pattern for corporate reorganization went usually as follows: Inability to pay interest or principal of indebtedness led to an application by the corporation itself for a receiver.[2] It was customary to select a "friendly" court; the receiver was generally the company's president; the bondholders' interests were represented by protective committees ordinarily formed by the investment banking houses that had floated the issues. A reorganization plan was agreed upon by the committees and then approved by the court. The plan usually represented a compromise of the conflicting interests of the various ranks of security holders, under which, generally speaking, everyone retained *some* interest in the new company and everyone made some sacrifice. (In numerous cases, however, small and well-entrenched issues at the top were paid off or left undisturbed; and in hopeless situations stock issues were sometimes completely wiped out.) The actual mechanics of reorganization was through a foreclosure or bankruptcy sale. The properties were bought in in behalf of the assenting security holders; and creditors who refused to participate received in cash their pro rata share, if any, of the sale price. This price was usually set so low that everyone was better off to join in the plan and take new securities rather than to stay out and take cash.

Between 1933 and 1939 this procedure was completely transformed by a series of remedial laws, the most important of which was the

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[2] Other "events of default"—*e.g.*, failure to meet sinking-fund or working-capital requirements—rarely resulted in receivership. Almost always bondholders preferred to overlook, or negotiate over, these matters rather than harm themselves by throwing the company in the